CHAPTER

3

Theories of Employment and Income

"Unemployed people suffer the demoralization, frustration and loss of self respect that come from enforced idleness".

– Wonnacott. P and Wonnacott. R

Learning Objectives

1. To understand the meaning of full employment and unemployment and its types.
2. To learn the classical theory of employment.
3. To know the importance of Keynes' theory of income and employment.

3.1 Introduction

The economic history has shown many countries facing economic problems. Out of these problems, unemployment is the most vexing. Both classical economists and Keynes have explained the relationship between employment and income. The classical economists had great faith in the law of markets articulated by J.B. Say, the French economist. J. M. Keynes is one of the greatest and most influential economists of the mid 20th century.

3.2 Meaning of Full Employment

Full employment refers to a situation in which every able bodied person who is willing to work at the prevailing wage rate, is employed. In other words full employment means that persons who are willing to work and able to work must have employment or a job; Keynes defines full employment as the absence of involuntary unemployment.

Lerner defines full employment as "that level of employment at which any further increase in spending would result